**AGA KHAN UNIVERSITY EXAMINATION BOARD**

**HIGHER SECONDARY SCHOOL CERTIFICATE**

**CLASS XI**

**ANNUAL EXAMINATIONS (THEORY) 2024**

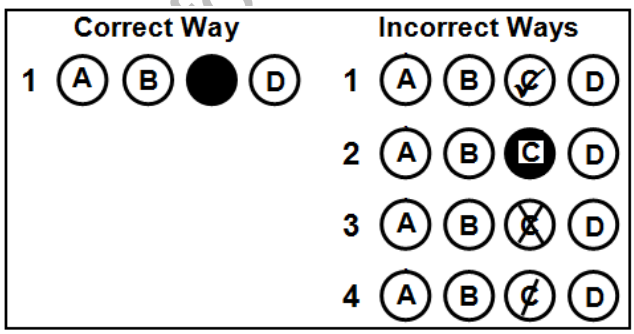
**Principles of Commerce Paper I**

**Time: 1 hour 10 minutes Marks: 40**

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**INSTRUCTIONS**

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 40 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.




**Candidate's Signature**

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a scientific calculator if you wish.

1. Amin is working as freelance web designer who works on contractual basis.

   With reference to given economic activity, Amin is classified as a/ an

   A. artisan.
   B. retailer.
   C. intellectual.
   D. entrepreneur.

2. The following image shows an economic activity.



   The given image exemplifies

   A. primary economic activity.
   B. secondary economic activity.
   C. tertiary economic activity.
   D. quaternary economic activity.

3. Ashraf industries announced to provide food services (meals) to all employees on a fixed subsidised rate despite their entitlement.

   This step will IMMEDIATELY raise the operational cost of the business and will inversely impact

   A. employees' motivation.
   B. staff loyalty.
   C. job security.
   D. profit.

4. Daraz.pk, a prominent e-commerce marketplace in South Asia, operates in Bangladesh, Pakistan, Sri Lanka, and Nepal. As a subsidiary of Alibaba Group, it offers a diverse range of products such as clothing, electronics, and home appliances. Users can conveniently shop online and benefit from promotions and discounts provided by the platform.

   The given description describes the e-commerce business module of

   A. business-to-business (B2B).
   B. consumer-to-business (C2B).
   C. consumer-to-consumer (C2C).
   D. business-to-consumer (B2C).

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5. With reference to consumer perspective, the given image that depicts public sector is

| | |
|---|---|
|  |  |
| A | B |
|  |  |
| C | D |

6. Which of the following is the appropriate title for a sole proprietorship business?

A. Al-Hamra Cooperative Society
B. Al-Mehran Corporation
C. Al-Mansoora Traders
D. Al-Najaf & Co

7. Aliya has recently finished her BBA and is planning to establish her own superstore. She lives in a joint family and would like to venture with her siblings. The investment will be jointly provided by her uncle and father.

Based on the given information, the business form will be classified as

A. partnership.
B. public company.
C. cooperative society.
D. non-profit organisation.

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8. Amir runs his own general store. The business timing of the store exceeds 16 hours a day and it is also operational on weekends. Due to his business commitment, he has no time for his leisure activities.

With reference to demerits of sole-proprietorship, the MAJOR demerit Amir faces in the given scenario is

A. the uncertainty of business life.
B. the imbalance in work and social life.
C. being the single earner of all the profits.
D. being the whole and sole authority of the business.

9. A business partner shared his/ her goodwill and name in a business but did not contribute financially and operationally. In return, he/ she was awarded a 25% share in the profit.

With reference to the types of business partners, the partner is classified as

A. quasi.
B. minor.
C. nominal.
D. sleeping.

10. The MAJOR demerit of a cooperative society is that there is/ are

A. a limited capital.
B. a limited liability.
C. no speculations.
D. a tax wavier.

11. Which of the following is the CORRECT sequence of voluntary winding up of a joint stock company?

| | Step 1 | Step 2 | Step 3 | Step 4 |
|---|---|---|---|---|
| A | Publication of public notice | Appointment of liquidator | Final meeting and report of liquidator | Reports to registrar and final dissolution |
| B | Appointment of liquidator | Publication of public notice | Reports to registrar and final dissolution | Final meeting and report of liquidator |
| C | Final meeting and report of liquidator | Reports to registrar and final dissolution | Publication of public notice | Appointment of liquidator |
| D | Reports to registrar and final dissolution | Final meeting and report of liquidator | Appointment of liquidator | Publication of public notice |

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12. The document which states the rules and regulations of how a company is being run, governed and owned internally, is known as the

A. Articles of Association (AoA).
B. Certificate of Incorporation (CoI).
C. Certificate of Commencement (CoC).
D. Memorandum of Association (MoA).

13. The following are the features of a document:

- It contains all the fundamental information, which is required for the incorporation of the company.
- It is subordinate to the Companies Act.
- It contains five clauses. Alterations can be made in the clauses, after passing a Special Resolution (SR) in the Annual General Meeting (AGM) along with a prior approval from the registrar.

The given features are of the

A. prospectus.
B. certificate of registration.
C. memorandum of association.
D. statement in lieu of prospectus.

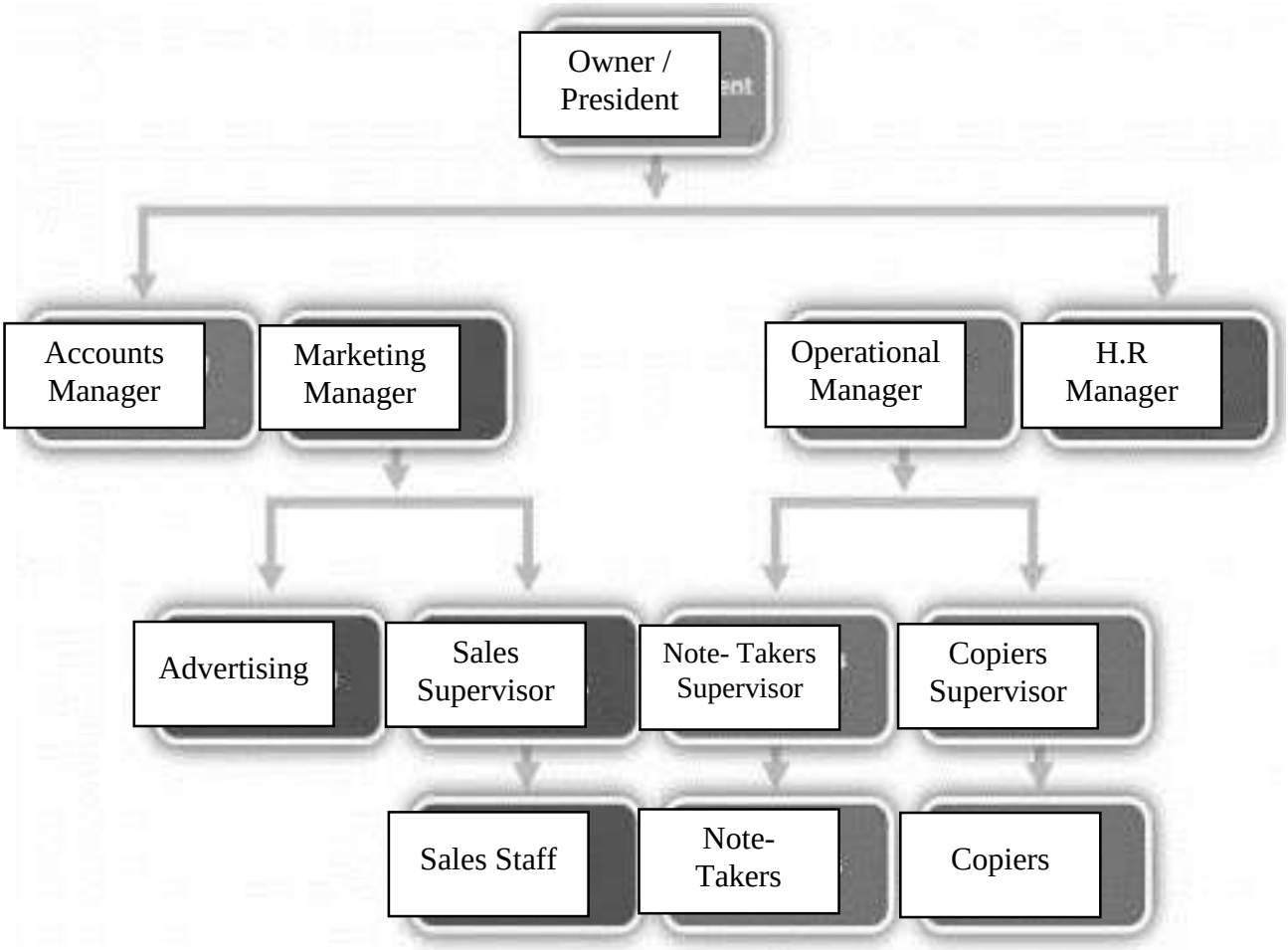
14. A welfare medical centre has chosen to establish patient profiles through a single web portal, where all consultations pertaining to a patient will be documented for a one-year period. This portal can be accessed by various departments within the medical centre.

The type of filling opted by the welfare centre is

A. centralised filing.
B. decentralised filing
C. chronological filing.
D. consultancy-based filing.

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15. Consider the following image of an organisational chart for a business.

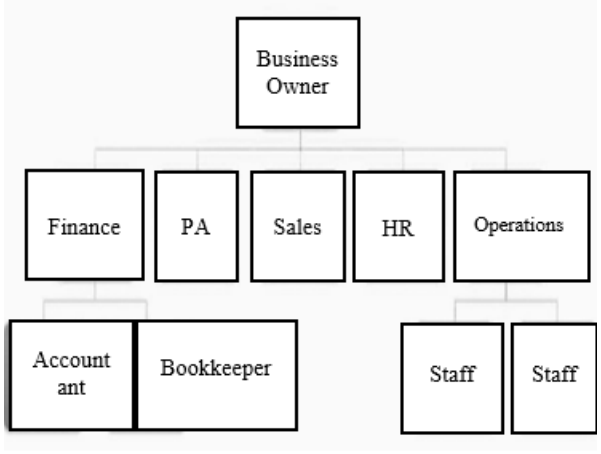



The type of departmentation depicted in the given image is

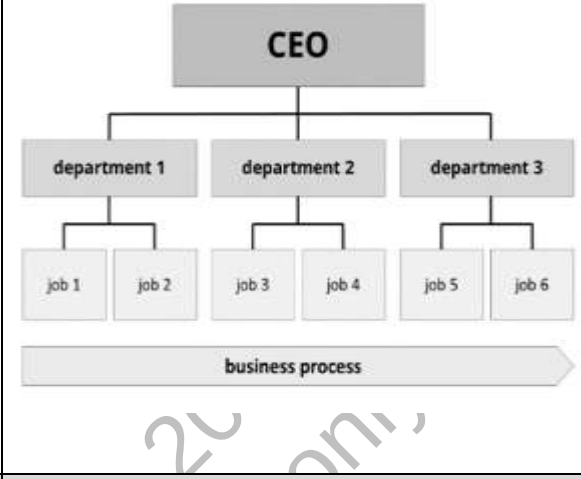
A. geographical based.
B. functional based.
C. process based.
D. product based.

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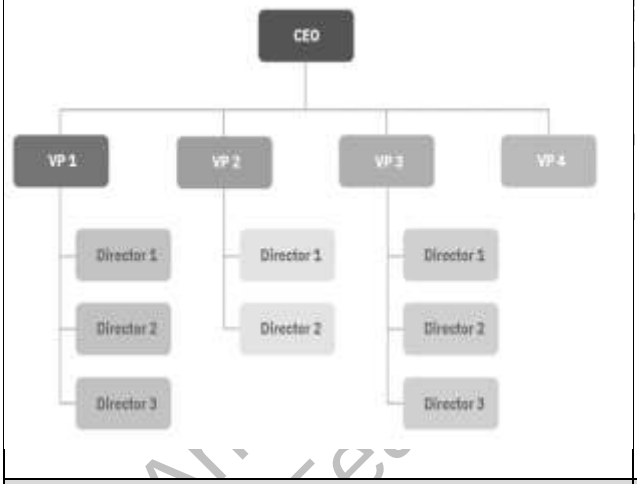
16. Which of the following has the longest chain of command and the shortest span of control?




A




B




C




D

17. A departmental store is planning to implement decentralised management for its operations.

The selection and appointment of managers will be conducted through

A. managers of other departments.
B. entrepreneurs of the business.
C. consultation of subordinates.
D. the consensus of workers.

18. All of the following are the examples of chain stores EXCEPT

| | |
|---|---|
|  |  |
| A | B |
|  |  |
| C | D |

19. Ahmed sends a consignment to Australia that has a detailed invoice for shipment purposes.

In the given scenario, all of the following details will be included in description of the issued invoice EXCEPT

A. name of the seller and client.
B. description and price of the product.
C. term of payment.
D. expiry date of product.

20. The biggest demerit international trade brings to an economy of any country is that it

A. exploits natural resources.
B. produces goods of high value.
C. creates pay disparity among workers.
D. creates an imbalance between domestic and foreign demand.

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21. Anousha exports hosiery products to Malaysia and has sent a bill to the buyer in advance. The invoice describes the categories of items, their shipping weights and transport charges.

In the given situation, the issued invoice is classified as

A. debit.
B. credit.
C. consular.
D. proforma.

22. Which of the following services is provided by a wholesaler to a retailer?

A. Bulk buying
B. Credit sales
C. Product discount
D. Storage capacity

23. The given advertisement is BEST classified as




A. collective.
B. competitive.
C. informative.
D. persuasive.

24. All of the following are considered as 4Ps of marketing mix EXCEPT

A. packaging.
B. promotion.
C. product.
D. price.

25. Initially smartphones were launched with a very high price, which made their accessibility difficult for the masses. After the initial period, many Chinese-based companies launched mobiles with similar features in very reasonable prices. Nowadays, it is easily accessible to the majority of the people.

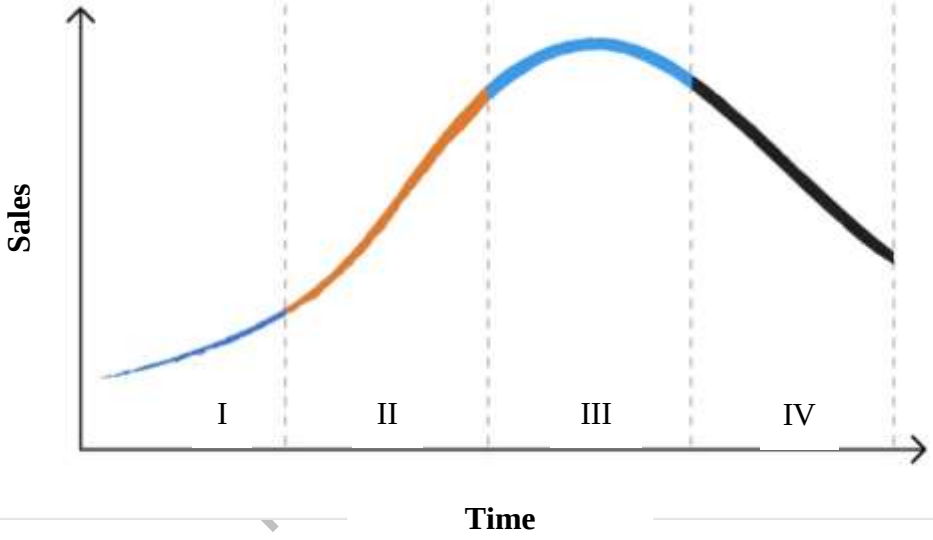
In the given scenario, the pricing strategy used by Chinese companies is

A. skimming.
B. penetration.
C. competitive.
D. promotional.

26. If the price elasticity of demand of a product is greater than 1, then a minor change in price will bring

A. no change in the quantity demanded of the product.
B. an infinite change in the quantity demanded of the product.
C. less change in the quantity demanded as compared to the price of product.
D. more change in the quantity demanded as compared to the price of product.

27. The CORRECT labelling of the given product life cycle is




| | Stage I | Stage II | Stage III | Stage IV |
|---|---|---|---|---|
| A | Decline | Maturity | Growth | Introduction |
| B | Introduction | Maturity | Growth | Decline |
| C | Introduction | Growth | Maturity | Decline |
| D | Decline | Introduction | Growth | Maturity |

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28. Pakistan Mango Farmers Association established a warehouse to store mangoes for a longer time in cool and dry conditions. This has improved the shelf life of the fruit with an increase in its price in the off-season.

The described warehouse is classified as a

A. private warehouse.
B. bonded warehouse.
C. custom warehouse.
D. cold storage warehouse.

29. The following details were extracted from the books of Al-Basit.

| Balance sheet | | | |
|---|---|---|---|
| **Assets** | | **Equities** | |
| Cash | 120,000 | Bank overdraft | 5,000 |
| Bank | 560,000 | Bank loan | 125,000 |
| Account receivable | 80,000 | Account payable | 25,000 |
| Stock | 50,000 | Notes payable | 50,000 |
| Supplies | 25,000 | Bank loan | 350,000 |
| **Total Current Assets** | **835,000** | **Total Liability** | **555,000** |
| Furniture | 250,000 | | |
| Provision for depreciation | 25,000 | Capital | 1,705,000 |
| Building | 750,000 | Drawing | 25000 |
| Motor vehicle | 350,000 | Additional investment | 75000 |
| Provision for depreciation | 150,000 | | |
| **Total Fixed Assets** | **1,525,000** | **Total Equity** | **1,755,000** |
| **Total Assets** | **2,360,000** | **Total Equity** | **2,360,000** |

The working capital ratio for Al-Basit will be

A. 0.476
B. 0.669
C. 1.494
D. 4.073

30. Qasim took out a health insurance policy in his name. Later, he developed cancer due to his smoking habit and passed away as a result. His medical reports revealed that he had been smoking since he was 15. Consequently, the insurance company decided not to pay the insurance money as Qasim had not disclosed his smoking habit at the time of taking the policy.

The insurance principle violated by Qasim, which enables the insurance company to deny the payment, is

A. subrogation.
B. proximate cause.
C. insurable interest.
D. utmost good-faith.

31. Various trade auxiliaries offer distinct utilities.

The kind of utility provided by a warehouse is

A. time.
B. form.
C. place.
D. possession.

32. Read the following features:

- It represents the difference between a business's current assets and current liabilities.
- It serves as a measure of the business's operating efficiency and liquidity.

The given features describe the concept of

A. equity.
B. investment.
C. fixed capital.
D. working capital.

33. In the context of Islamic financing, the business collaboration, which is based on the principle where one party is responsible for providing the capital investment, while the other is responsible for managing the operations, is identified as

A. *Mudarba.*
B. *Musharka.*
C. *Rabulmal.*
D. *Takaful.*

34. Which of the following is a long-term source of finance?

A. Bank Overdraft
B. Debentures Payable
C. Treasury Bills (T-bill)
D. Trade Payables (trades payable)

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35. Which of the following is an auxiliary to trade?

A. Retailing
B. Producing
C. Exporting
D. Warehousing

36. The part of a business letter that is used to formally greet the receiver is known as

A. salutation.
B. letterhead.
C. main body.
D. subject line.

**Use the given information for Q.37 and Q.38**

Read the following letter:

**Letter of Ordering Goods Sample**

Turner Lampshades

1685 Riverside Drive
Blairsville, GA 30512

Dear Turner Lampshades,

My name is Barbara. I would like to order 13 oriental lampshades from your catalogue. Their item number is #4564323534. They are listed at $10 each.

I have included a certified check for $130. That should cover the cost of the lampshades.

The address I would like these lampshades shipped to is:

Barbara D. Martin

3940 Lucky Duck Drive
Monroeville, PA 15146

37. The type of the given business correspondence is a/ an

A. intent letter.
B. dunning letter.
C. adjustment letter.
D. sales enquiry letter.

38. Observe the formatting of the given letter.

The writing format depicted in the letter is

A. full block.
B. semi-indented.
C. modified block.
D. hanging paragraph.

39. Ms Kinza has applied for the post of Accounts Manager in Sami Limited (a multi-national company). The reference section of her resume showed the contact details of her previous employer. In order to verify her details, the Human Resource Manager of Sami Limited wrote a letter to her previous employer.

Based on the given scenario, the type of letter written is a/ an

A. job letter.
B. inquiry letter.
C. letter of intent.
D. announcement letter.

40. Read the following features:

- Informal appearance.
- Double line space.
- Left-align with space indent.

Based on the given features, the letter-writing format is identified as

A. AMS (Administrative Management Society).
B. modified block style.
C. semi-indented style.
D. full block style.

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END OF PAPER

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